Chapter 4. Demand analysis for managers

From: Managerial Economics for Indian Business, R. N. Khare and S. Dixit, 4th edition (fictional).

Demo document: fictional data prepared for a Walnut Learning Suite demonstration. Not an official syllabus or publication of the University of Lucknow.

4.1 What a manager needs from demand theory

A manager rarely asks whether demand curves slope downwards. The questions are practical: if we cut the price of the festive gift box by 10%, will revenue rise or fall? How many units should the kitchen prepare for Diwali week?

4.2 Elasticity in practice

Price elasticity of demand = percentage change in quantity demanded / percentage change in price. When demand is elastic (greater than 1 in absolute value), a price cut raises total revenue; when it is inelastic, a price cut lowers it.

- Worked example: a Lucknow sweet shop (fictional) sells 400 boxes a week at Rs 500. At Rs 450 it sells 480 boxes. Elasticity = (20%) / (-10%) = -2.0, so demand is elastic and revenue rises from Rs 2.00 lakh to Rs 2.16 lakh.
- Income elasticity tells you which products grow fastest as customers' incomes rise. Cross elasticity tells you which competitor's price matters most.

4.3 Choosing a forecasting method

Survey methods suit new products with no sales history. Trend projection suits stable products with several years of data. Regression suits products whose demand depends on measurable drivers such as income, price and advertising. Expert opinion helps when the market is changing quickly.

4.4 Practice

- A chikankari brand (fictional) is moving online. Recommend a forecasting method for its first festive season and justify your choice in 150 words.
- Compute the cross elasticity between two competing brands from the data in the case appendix.